FAIR PRACTICES CODE

OF

HOME CREDIT INDIA FINANCE PRIVATE LIMITED

Version 11

Approved by the Board of Directors of

Home Credit India Finance Private Limited

on July 26, 2025

Vivek Singh

Chief Executive Officer

INTRODUCTION

Pursuant to the guidelines on the Fair Practices Code prescribed by the Reserve Bank of India ("RBI") under the Master Directions- Reserve Bank of India (RBI) (Non-Banking Financial Company- Scale Based Regulation) Directions, 2023 ("RBI SBR Directions"), as amended from time to time, Home Credit India Finance Private Limited ("HCIN/Company") has reviewed and adopted this Fair Practices Code ("FPC") with the approval of its Board of Directors ("Board").

1 KEY COMMITMENTS

HCIN is committed to:

1.1 To act honestly and ethically while dealing with the borrowers by:

(i) Ensuring that HCIN's products/ services, practices and procedures confirm to the relevant laws and regulations;

(ii) Proving accurate and timely disclosure of terms and conditions, costs/ charges and penalties with respect to financial transactions;

(iii) Following ethics of honesty and integrity in dealing with the borrowers; and

(iv) Providing professional, courteous and timely services to the borrowers.

1.2 To assist the borrowers in understanding financial products and services by:

(a) Giving information about the financial products and services to the borrower in the language (whether Hindi and/or English and/or local vernacular language) based on the borrower declares that he/ she understands;

(b) Ensuring that our advertising & promotional literature is clear and is not misleading;

(c) Explaining financial implications of the transactions; and

(d) Helping the borrowers to choose the financial scheme.

1.3 To assist the borrowers in having satisfactory and smooth completion of transactions with HCIN by:

(i) Immediate correction of errors;

(ii) Attending the borrowers' complaints quickly;

(iii) Informing the borrowers on the procedure for lodging complaints with HCIN; and

(iv) Informing the borrowers about the application, or the reversal as the case may be, of amount received from the borrowers.

1.4 The Board of Directors and the senior management[1] of HCIN shall be responsible for implementing Fair Practice Code.

1.5 HCIN shall not discriminate between the applicants/ borrowers on the basis of gender, race or religion or on the grounds of disability. However, this shall not preclude the Company from instituting or participating in schemes framed for different sections and age groups of the society.

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[1] the 'Senior Management' as defined in 'Explanation' to Section 178 of the Companies Act, 2013. As per the current definition, the expression "senior management'' means personnel of the company who are members of its core management team excluding Board of Directors comprising all members of management one level below the executive Directors, including the functional heads

1.6 HCIN provides all loan related services through digital channels (mobile application, chatbot, E-mail etc) so that borrowers with physical disabilities or senior citizen customers are not required to visit any office of HCIN.

2 APPLICATIONS FOR LOANS AND THEIR PROCESSING

2.1 Loan forms of HCIN will include necessary information which affects the interest of the borrower so that a meaningful comparison with the terms and conditions offered by other NBFCs can be made and an informed decision can be taken by the borrower.

2.2 All loan documents to the borrowers shall be primarily in the English and Hindi language. At the time of processing the loan, HCIN shall obtain the declaration from the borrower if he/ she can read, write and understand the English as a language and that all the terms and conditions for the grant of loan including the approved loan amount, method of calculation of interest on the loan amount as well as the penalties that shall become chargeable on the late payment, or non-payment, of loan amount and/ or interest thereon is understood by him/ her. Such declaration once given by the customer, shall be valid for all the loans applied by such customer with HCIN in future.

2.3 HCIN facilitates customer care service that operates in multiple regional languages. The general terms and conditions governing the loans and services offered by HCIN shall be made available to the borrowers in multiple regional languages on the website of HCIN.

2.4 Where digital lending applications/ platforms including of third-party Lending Service Provider ("LSP") (hereinafter referred to as "Digital Lending Platform") are engaged by HCIN to source loan applications, HCIN shall ensure that such DLPs disclose the name of HCIN to the borrower and such DLP names are disclosed by HCIN on its website.

2.5 Loan application forms would include necessary information which affects the interest of the borrower, so that a meaningful comparison with the terms and conditions offered by other NBFCs can be made and informed decision can be taken by the borrower. The loan documents shall indicate the identity proof, address proof and other documents required to be submitted by the borrower for the loan.

2.6 HCIN shall issue an acknowledgement for all loan applications through appropriate mode stating the time period within which the loan application shall be disposed of. The applicant may also know the status of the loan application by calling at the customer care service of HCIN. HCIN would verify the loan applications within a reasonable period of time. If additional details / documents are required, it would intimate the customers immediately.

3 LOAN APPRAISAL AND TERMS & CONDITIONS OF A LOAN

3.1 HCIN shall evaluate the information and documents provided by the applicant on the basis of the predefined eligibility criteria for the financial products and services. The assessment would be in line with HCIN 's credit policies and procedures.

3.2 HCIN may verify all or any of the information/ document provided by the applicant either by checking references, or by making enquiries to credit bureaus and other service providers or in any other manner permissible by law. HCIN shall obtain onetime consent of the applicant at the time of first loan application for verifying the information/ documents of the applicant.

3.3 HCIN shall ensure the following:

(a) It shall provide a Key Fact Statement ("KFS") to all prospective borrowers to help them take an informed view before executing the loan contract, as per the standardised format provided under the regulations

(b) Contents of Key Fact Statement shall be explained to the borrower and an acknowledgment shall be obtained that he/she has understood the same.

(c) The Key Fact Statement shall be provided with a unique proposal/contract number and shall have a validity period of at least three working days for loans having tenor of seven days or more, and a validity period of one working day for loans having tenor of less than seven days. The borrower shall be bound by the terms of the loan indicated in the KFS, if agreed to by the borrower during the validity period.

(d) It shall provide the loan application to all prospective borrower stating loan amount, tenure and other terms and conditions of the loan before executing the loan contract.

(e) Disclosure of annualised interest rate[2] and Annual Percentage Rate[3] in the loan documents.

(f) Disclosure of information relating to the recovery mechanism, grievance redressal officer to deal with complaints on digital lending and the cooling-off/ look-up period in Key Fact Statement.

3.4 In case of loans sourced and granted through a DLP, HCIN shall ensure the acceptance/ consent of the borrower on loan terms and conditions is obtained through online mode (i.e., through the DLP or OTP) in a secured manner.

3.5 granted through channels other than the DLP, the acceptance/ consent of the borrower may be obtained through physical/ digital signature /OTP / Click wrap of the borrower on such documents.

3.6 Once the loan is approved, HCIN shall issue the Loan Summary/ Sanction Letter of the Loan to the borrower. HCIN shall obtain the acceptance of the borrower to such terms and conditions for its record. In any other case, by giving such acceptance/ consent, the borrower confirms that he/ she has read and clearly understood the terms and conditions of Loan Application, agreement and of Loan Summary / Sanction Letter and undertakes to abide by these terms and conditions during the tenure of the Loan. HCIN shall maintain a record of such acceptance.

3.7 As a measure of customer protection, HCIN shall not charge foreclosure charges/ pre-payment penalties on all floating rate term loans sanctioned for purposes other than business to individual borrowers.

3.8 HCIN shall invariably furnish a copy of Loan Summary/ Sanction Letter and reference copy of the loan agreement along with a copy of relevant documents to all the borrowers after sanction/ disbursement of loans through e-mail, SMS or HCIN mobile application in the vernacular language or a language as understood by the borrower.

3.9 The borrower may terminate the loan agreement by repaying the outstanding loan amount to HCIN within the period prescribed in the loan documents, if dissatisfied with the terms and conditions set forth in the Loan Summary or Sanction Letter. No Prepayment Penalty shall be charged to the borrower in such case, however, the Processing Fee, if charged, shall not be adjusted against the Outstanding Balance of Loan Amount.

4 PENAL CHARGES IN LOAN ACCOUNTS

In accordance with the RBI guidelines on Fair Lending Practice - Penal Charges in Loan Accounts dated August 18, 2023, HCIN shall adhere to the following guidelines w.r.t. penal charges in loan accounts with effect from January 01, 2024:

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[2] *Annualized Interest Rate is the interest rate charged on the loan amount on reducing balance method and does not include any fees and charges. Loan Repayment Schedule is prepared basis this Annualized Interest Rate.*

[3] *Annual Percentage Rate is all inclusive rate computed on net disbursed amount and includes interest, processing fee, convenience fee, service fee, as applicable and excludes all contingent fee & charges.*

4.1 HCIN expects all borrowers to adhere to the material terms and conditions of their loan agreements. If HCIN detects any non-compliance, it shall send reminders to the borrowers, including the applicable penal charges commensurate with such non-compliance.

HCIN shall ensure that penalty, if charged, for non-compliance of material terms and conditions of loan contract by the borrower shall be treated as 'penal charges' and shall not be levied in the form of 'penal interest' that is added to the rate of interest charged on the advances.

4.2 HCIN shall ensure that there shall be no capitalisation of penal charges i.e., no further interest computed on such charges. However, this will not affect the normal procedures for compounding interest in the loan account.

4.3 HCIN shall ensure that the quantum of penal charges shall be reasonable and commensurate with the non-compliance of material terms and conditions of loan contract without being discriminatory within a particular loan / product category.

4.4 HCIN shall ensure that the penal charges in case of loans sanctioned to 'individual borrowers, for purposes other than business', shall not be higher than the penal charges applicable to non-individual borrowers for similar non-compliance of material terms and conditions.

4.5 HCIN shall mention the quantum and reason of penal charge/ late repayment payment charges, early repayment charges and other fees and charges in bold in the Loan application /Loan Summary/ Sanction Letter/ Key Fact Statement which shall be an integral part of loan agreement.

4.6 The Company shall not introduce any additional component to the rate of interest.

4.7 The Company shall ensure that whenever reminders for non-compliance of material terms and conditions of loan are sent to borrowers, the applicable penal charges are also communicated to the borrowers.

4.8 The Company shall ensure that any instance of levy of penal charges and the reason therefore shall be communicated to the borrowers.

4.9 The quantum and reason for penal charges shall be clearly disclosed by the Company in the loan agreement and most important terms & conditions / Key Fact Statement (KFS) as applicable, and on its website under Interest rates and Service Charges.

4.10 HCIN shall publish on its website under Interest rates and Service Charges the quantum of penal charges for information of the customer.

5 DISBURSEMENT OF LOANS INCLUDING CHANGES IN TERMS AND CONDITIONS

5.1 The disbursement of loan will be done only after the loan is approved and terms & condition of the loan is accepted by the borrower.

5.2 HCIN shall disburse the loan directly into borrower account except in case of:

(a) Disbursals for specific end use (consumer durables etc.), provided the loan is disbursed directly into the bank account of the end-beneficiary

(b) Flow of money between regulated entities for co-lending transactions, and

(c) Disbursals required under statutory or regulatory mandate (of RBI or of any other regulator).

5.3 HCIN shall also ensure that any change in the terms and conditions including disbursement schedule, interest rates, service charges, prepayment penalties etc. are affected only prospectively, with prior notice given to the borrower. A suitable condition in this regard shall be incorporated in the loan agreement.

6 RESPONSIBLE LENDING: TIMELY RELEASE OF PROPERTY DOCUMENTS UPON LOAN CLOSURE

6.1 HCIN shall release all the original movable property documents and remove charges registered with any registry within a period of 30 days after full repayment/settlement of the loan account.

6.2 The borrower shall be given the option of collecting the original movable property documents either from the office where the loan account was serviced or any other office of the HCIN where the documents are available, as per her/his preference.

6.3 The timeline and place of return of original movable property documents shall be mentioned in the loan sanction letters issued on or after the effective date.

6.4 HCIN shall release all securities on repayment of all dues or on realisation of the outstanding amount of loan subject to any legitimate right or lien for any other claim the HCIN may have against borrower. If such right of set off is to be exercised, the borrower shall be given notice about the same with full particulars about the remaining claims and the conditions under which the HCIN is entitled to retain the securities till the relevant claim is settled/paid.

6.5 In case of contingent event of demise of the sole borrower or joint borrowers, the original movable/immovable property documents of the sole borrower or joint borrower shall be returned to the legal heir(s) as per the duly approved procedure as displayed on the website of the HCIN.

Compensation for delay in release of movable/immovable property documents:

a. In case of delay in releasing of original movable/immovable property documents or failing to file charge satisfaction form with relevant registry beyond 30 days after full repayment/ settlement of loan, reasons for such delay shall be communicated to the borrower.
b. In case where the delay is attributable to the HCIN, compensation at the rate of Rs. 5,000 for each day of delay shall be provided to the borrower.

In case of loss/damage to original movable/immovable property documents, either in part or in full, the HCIN shall assist the borrower in obtaining duplicate/certified copies of the movable/immovable property documents and shall bear the associated costs, in addition to paying compensation as indicated at clause (b) above. In such cases, an additional 30 days timeline will be available to HCIN to complete the procedure and delayed period penalty will be calculated after 60 days.

7 COMPLAINT REDRESSAL MECHANISM

7.1 HCIN shall lay down the appropriate grievance redressal mechanism within the organization to resolve disputes arising in this regard. Such a mechanism shall ensure that all disputes arising out of the decisions of HCIN's functionaries/ DLP/ LSP are heard and disposed of at least at the next higher level.

7.2 HCIN shall, for the benefit of their customers, prominently display the name and contact details (Telephone/ Mobile nos. as also email address) of the Grievance Redressal Officer who can be approached by the public for resolution of complaints against HCIN at its offices. HCIN shall also display the complete contact details of the Officer-in-Charge of the concerned Regional Office of RBI having jurisdiction over the registered office of HCIN, to whom the customer may appeal if the complaint/ dispute is not redressed within a period of one month. HCIN shall ensure that adequate efforts shall be made towards creation of awareness about the grievance redressal mechanism amongst its borrowers.

7.3 With reference to RBI guidelines on outsourcing arrangements issued vide circular dated 9th November 2017, this grievance redressal mechanism includes the complaints received in respect of outsourcing arrangements also.

Details of Grievance Redressal Officer:

Mr. Vishal Sharma, Grievance Redressal Officer, is appointed as the Grievance Redressal Officer (GRO) under the Fair Practices Code and Reserve Bank of India (Digital Lending) Directions, 2025 issued by RBI on 08.05.2025, as amended from time to time, who can be approached by the public for resolution of complaints against the HCIN. Contact details provided below:
Complaint Department
E-mail: grievanceofficer@homecredit.co.in
Landline: 0124 6628713

7.4 If the complaint / dispute is not redressed within a period of one month, the customer may appeal to the Officer-in-Charge of the Regional Office of Department of Supervision (DoS), Reserve Bank of India, New Delhi, under whose jurisdiction the registered office of the HCIN falls. HCIN shall comply with the applicable provisions of the Reserve Bank- Integrated Ombudsman Scheme, 2021 including the following:

(a) The Company shall appoint Principal Nodal Officer(s) ("PNO") and/ or Nodal Officer(s) ("NO") as required under the Ombudsman Scheme.

(b) The PNO/ NO shall be responsible, inter alia, for representing the Company before the Ombudsman/ Deputy Ombudsman appointed by the RBI and the Appellate Authority under the Ombudsman Scheme.

7.5 For the benefit of the customers, at the places where business is transacted and website, the name and contact details (Telephone/ Mobile number and email) of the PNO along with the details of the complaint lodging portal of the Ombudsman (https://cms.rbi.org.in) will be displayed.

7.6 The salient features of the Scheme shall be displayed prominently in English, Hindi and Regional languages at all the offices/ branches and website.

7.7 The Board of Directors shall also provide for periodical review of the compliance of the Fair Practices Code and the functioning of the grievance redressal mechanism at various levels of management. A consolidated report of such reviews shall be submitted to the Board at regular intervals, as may be prescribed by it.

8 CODE FOR DETERMINING INTEREST RATES AND CHARGES

8.1 The Board of Directors of HCIN shall ensure that appropriate internal principles and procedures are laid down for determining interest rates, processing and other charges keeping in view the Fair Practices Code about transparency in respect of terms and conditions of the loans. HCIN shall, at the time of disbursal, ensure that the applicable interest rate and processing and other charges on loan and advances are in strict adherence to above referred internal principles and procedure.

8.2 The Board of Directors of HCIN shall ensure that HCIN adopts an interest rate policy and interest rate model taking into account relevant factors for determining the rate of interest to be charged for loans and advances. The different interest rate to the customers may be charged based on loan amount, tenor, down payment, payment history with HCIN and in credit bureau, credit bureau's score, age, income and type of document provided. The rate of interest and the approach for gradations of risk and rationale for charging different rate of interest to different categories of borrowers shall be disclosed to the applicants/ borrowers in the application form and communicated explicitly in the Loan Summary/ Sanction Letter, as the case may be.

8.3 The range of rates of interest charged under various loan products, the approach for gradation of risks as well as the thereof, shall also be made available on the website of the HCIN. The information published on the website shall be updated whenever there is a change in the aforesaid information.

9 RECOVERY MECHANISM

9.1 HCIN shall frame and implement appropriate code of conduct in confirmation with applicable laws and industry practices and ensure that necessary guidance has been disseminated to the recovery agents in this behalf.

9.2 The employees as well as representative agents of HCIN must follow only ethical practices and will not resort to unduly coercive tactics in the process of recovery.

9.3 In the matter of recovery of loans, HCIN or its recovery agent(s) shall not resort to intimidation or harassment of any kind, either verbal or physical, against any person in their debt collection efforts, including acts intended to humiliate publicly or intrude upon the privacy of the borrowers' family members, referees and friends, sending inappropriate messages, making threatening and/ or anonymous calls, repeatedly calling the borrower and/ or calling the borrower before 8:00 a.m. and after 7:00 p.m. for recovery of overdue loans or making false and misleading representations.

9.4 HCIN shall have a built in re-possession clause in the loan agreement with the borrower which must be legally enforceable. To ensure transparency, the terms and conditions of the contract/loan agreement should also contain provisions regarding: (a) notice period before taking possession; (b) circumstances under which the notice period can be waived; (c) the procedure for taking possession of the security; (d) a provision regarding final chance to be given to the borrower for repayment of loan before the sale/auction of the property; (e) the procedure for giving repossession to the borrower and (f) the procedure for sale / auction of the property.

9.5 In case of secured loans, HCIN shall arrange for enforcing security charged to it of the delinquent borrower, if required, with an aim only to recover dues and not aimed at whimsical deprivation of the property. HCIN shall ensure that the entire process of enforcing its security, valuation and realisation thereof be fair and transparent.

9.6 HCIN shall ensure that prior intimation of the detail of the recovery agent authorized to approach the borrower for recovery is given to such borrower.

9.7 The Collections & Recovery mechanism adopted by HCIN shall be based on legal and acceptable practices and be disclosed to the customer as part of the loan application.

10 GENERAL

10.1 HCIN shall not interfere in the affairs of the borrower except for the purposes provided in the loan agreement unless new information not earlier disclosed by the borrower has come to the notice of HCIN.

10.2 In case of receipt of a request from the borrower for transfer of the borrowal account, the consent or otherwise objection of HCIN, if any, shall be conveyed within 21days from the date of receipt of such request. Such transfer shall be as per transparent contractual terms in consonance with law.

10.3 Any decision to recall/accelerate payment or performance under the loan agreement shall be in consonance with the loan agreement.

10.4 HCIN shall ensure that the staff dealing with the customers, including specifically customer complaints, are adequately trained to deal with the customers in an appropriate manner as per the Fair Practice Code of HCIN.

10.5 HCIN respects the privacy and confidentiality of its borrower's and their data. HCIN strives to embed privacy in all of its processes in compliance with the applicable laws including while using and/ or sharing borrowers' personal information with its service providers including DLP and/ or LSP. HCIN has published its Privacy Policy along with the list of said service providers including recovery agents and DLP/ LSP on its website, which is updated on a periodic basis.

10.6 In case HCIN sources loan applications and/ or enables repayment by the borrowers directly or through DLP and/ or LSP, HCIN and its DLP and LSP shall abide by this Fair Practice Code following the spirit of the Code and in the manner, it may be applicable to its business.

10.7 The computation sheet for 'Annual percentage rate' (APR) shall be included along with the KFS, and the amortization schedule of the loan over the loan tenor. APR will include all charges which are levied by the company.

11 Website Disclosure

Fair Practices Code, preferably in the vernacular language or a language as understood by the borrower should be put up on the website of the Company for the information of various stakeholders.

12 REGULATION OF INTEREST RATE CHARGED

The Company shall follow the appropriate internal principles and procedures in determining interest rates and processing and other charges in line with the approved policies from time to time.

The Company shall follow the interest rate model adopted and approved by the Board and made available on the website. The rate of interest and the approach for gradations of risk and rationale for charging different rates of interest to different categories of borrowers shall be disclosed in the application form and communicated explicitly in the sanction letter.

The rate of interest shall be annualised rates so that the borrower is aware of the exact rates that would be charged to the account.

13 REPOSSESSION OF VEHICLE FINANCED

The HCIN should include a built-in re-possession clause in the loan agreement with the borrower which must be legally enforceable.

To ensure transparency, the terms and conditions of the loan agreement should also contain provisions regarding:
(a) Notice period before taking possession;
(b) Circumstances under which the notice period can be waived;
(c) The procedure for taking possession of the security;
(d) A provision regarding final chance to be given to the borrower for repayment of loan before the sale / auction of the property;
(e) The procedure for giving repossession to the borrower and;
(f) The procedure for sale / auction of the property.

A copy of such terms and conditions must be made available to the borrower. The HCIN shall invariably furnish a copy of the loan agreement along with a copy each of all enclosures quoted in the loan agreement to all the borrowers at the time of sanction/ disbursement of loans, which forms a key component of such contracts/ loan agreements.

14 LOAN FACILITIES TO THE PHYSICALLY/VISUALLY CHALLENGED BY THE HCIN

The HCIN shall not discriminate in extending products and facilities including loan facilities to physically/visually challenged applicants on grounds of disability. All service delivery unit of the HCIN shall render all possible assistance to such persons for availing of the various business facilities.

15 ADDITIONAL NORMS FOR DIGITAL LENDING OR THE LOANS SOURCED OVER A DIGITAL LENDING PLATFORM:

i. **Provisions for Loans Sourced by the Company over Digital Lending Platform/ Apps ("DLAs"):**
In case, HCIN sources borrowers and/ or to recover dues over digital lending platform (irrespective of whether they lend through their own digital lending platform or through an outsourced lending platform), the HCIN shall abide by the provisions of this FPC in letter and spirit and in the manner, it may be applicable to its business.

Further, HCIN shall adhere to the following instructions in respect of digital lending:

a. Names of digital lending platforms engaged as agents shall be disclosed on the website of the HCIN.
b. Digital lending platforms engaged as agents shall be directed to disclose upfront to the customer, the name of the HCIN on whose behalf they are interacting with the customer.
c. Effective oversight and monitoring shall be ensured over the digital lending platforms engaged by the HCIN.
d. Sanction letter must be issued to borrower on the letter head of the HCIN, immediately after sanction of loan and prior to execution of loan agreement. Further, a copy of loan agreement, along with all enclosures quoted therein must be furnished to all borrowers at the time of sanction/disbursement of loans.
e. Adequate efforts shall be made towards creation of awareness about the grievance redressal mechanism.
f. Cooling off/look up period: The customer shall be given an explicit option to exit digital loan by paying the principal and the proportionate Annual Percentage Rate (APR) without any penalty during the cooling off/look up period of minimum 3 days from the date of disbursement.

ii. Provisions to be followed by the HCIN with respect to Digital Lending Loans:
The HCIN shall comply with the provisions of Reserve Bank of India (Digital Lending) Directions, 2025 dated May 08, 2025, issued by RBI (as amended from time to time).

16 MASTER DIRECTION – RESERVE BANK OF INDIA (CREDIT INFORMATION REPORTING) DIRECTIONS, 2025

HCIN shall comply with the provisions of Master Direction – Reserve Bank of India (Credit Information Reporting) Directions, 2025 to the extent applicable (as amended from time to time).

17 REVIEW OF POLICY

The FPC shall be amended or modified with approval of the Board. The FPC shall be reviewed by the Board on an annual basis. Consequent upon any amendments in RBI Master Directions or any change in the position of the HCIN, necessary changes in this FPC shall be incorporated and approved by the Board.

Notwithstanding anything contained in this FPC, in case of any contradiction of the provision of this FPC with any existing legislations, rules, regulations, laws or modification thereof or enactment of a new applicable law, the provisions under such law, legislation, rules, regulation or enactment shall prevail over this FPC.

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